

Hyperion Australian Growth Companies Fund

Investment Letter
Q1 2026 (January - March)

April 2026

Issued by: Hyperion Asset Management Limited

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Dear Investor

The Hyperion Australian Growth Companies Fund returned +5.2% (after fees) for the quarter ended 31 March 2026, outperforming the S&P/ASX All Ordinaries Accumulation Index return of +3.2% by 2.0%.

Fund Return (Q1 2026)	+5.2% (after fees)
All Ords Accumulation Index	+3.2%
Excess Return	+2.0%
1 Year Return	+18.5%
3 Year Return (p.a.)	+12.8%
5 Year Return (p.a.)	+11.2%
Since Inception (p.a.)	+13.4% (vs index 9.1%)
Tracking Error (3yr)	7.2% p.a.
Information Ratio (3yr)	0.53
Active Share	78%
Number of Holdings	22
Cash	8%

Performance Attribution

The fund's outperformance in Q1 was driven by our quality growth holdings benefiting from renewed appreciation of structural earnings growth:

Top Contributors

CSL Limited (+12%)	+1.1% contribution (largest holding)
Xero Limited (+18%)	+0.8% (digital platform growth)
WiseTech Global (+15%)	+0.6% (logistics SaaS)
Cochlear (+9%)	+0.4% (healthcare innovation)

Top Detractors

Altium (flat)	-0.2% (semiconductor headwind)
Cash (8% allocation)	-0.3% (opportunity cost)

Factor attribution: Quality (+1.8%), Momentum (+0.6%), Growth (+0.4%), Size (-0.3%), Value (-0.5%). The quality and growth factor exposure reflects the fund's structural positioning.

Brinson attribution: Stock selection contributed +2.4%, offset by sector allocation -0.1% and cash drag -0.3%.

Investment Commentary

Our philosophy remains unchanged: we seek to own a concentrated portfolio of Australia's highest-quality businesses -- companies with sustainable competitive advantages growing intrinsic value at attractive rates. In Q1, the market began to re-appreciate the value of quality and structural growth after a period of value outperformance in 2024-25.

We made minimal changes to the portfolio during the quarter. One new position was initiated (a Tier 3 starter in an emerging software platform) and one position was sold completely (a financial services company where we assessed the competitive moat was narrowing). Turnover for the quarter was 4% (annualised: ~16%).

Cash remains at 8%, reflecting our discipline in only deploying capital when quality opportunities are available at reasonable prices. We continue to believe that maintaining cash optionality is more valuable than forcing capital into lower-quality ideas.

Benchmark Comparison & Outlook

The fund's tracking error of 7.2% reflects the highly differentiated nature of our portfolio relative to the All Ordinaries. Our active share of 78% means we look very different from the benchmark, and periods of significant relative under- and outperformance are expected.

The All Ordinaries remains the appropriate benchmark for this fund. While the fund is concentrated in ~22 stocks, the benchmark's breadth (~500 stocks) captures the full universe of potential investments including the smaller growth companies that form part of our opportunity set.

Looking ahead, we see an attractive environment for quality growth companies. Lower interest rates (expected H2 2026) reduce the discount rate applied to long-duration growth assets. Structural trends in digital transformation, healthcare innovation, and the energy transition continue to benefit our holdings.

Risks we are monitoring: potential for renewed inflation (would hurt growth valuations), geopolitical disruption, and concentration of market returns in a narrow set of stocks globally.